

EXTRACT FROM THE INTERIM FINANCIAL STATEMENTS FOR THE PERIOD OF SIX MONTHS TO 30 JUNE 2026

The unaudited results for the Kakuzi Group for the period of six months to 30 June 2026 and the comparative figures for the previous year are as follows:

Condensed Consolidated Statement of Profit or Loss and other Comprehensive Income		
	30 June 2026	30 June 2025
	Shs'000	Shs'000
Sales	1,117,721	1,511,260
(Loss)/profit before fair value gain in non-current biological assets and income tax	(23,454)	409,666
Fair value gain in non-current biological assets	33,876	25,579
Profit before income tax	10,422	435,245
Income tax expense	(3,312)	(139,707)
Profit for the period	7,110	295,538
Other Comprehensive Income	-	-
Total comprehensive income	7,110	295,538
Earnings per share (Shs):	Shs	Shs
Basic and diluted earnings per ordinary share	0.36	15.08

Condensed Consolidated Statement of Cash flows		
	30 June 2026	30 June 2025
	Shs'000	Shs'000
Cash and cash equivalents at the beginning of the period	1,593,203	1,106,684
Net cash (used)/generated in operating activities	(739,671)	11,871
Net cash used in investing activities	(258,868)	(67,603)
Net cash used in financing activities	(313,659)	(156,861)
Effect of exchange rate differences on cash and cash equivalents	(6,411)	(3,798)
Decrease in cash and cash equivalents	(1,318,609)	(216,391)
Cash and cash equivalents at the end of the period	274,594	890,293

Condensed Consolidated Statement of Financial Position			
	30 June 2026	30 June 2025	Audited 31 Dec 2025
	Shs'000	Shs'000	Shs'000
EQUITY			
Share capital	98,000	98,000	98,000
Other reserves	40,206	36,251	40,206
Retained earnings	5,123,342	5,337,797	5,116,232
Proposed dividends	-	-	313,600
Total equity	5,261,548	5,472,048	5,568,038
Non-current liabilities	1,270,570	1,303,861	1,256,730
	6,532,118	6,775,909	6,824,768
REPRESENTED BY			
Non-current assets	4,166,296	4,054,964	4,072,891
Current assets excluding cash and bank balances	2,487,646	2,243,123	1,565,481
Cash and bank balances	274,594	890,293	1,593,203
Current liabilities	(396,418)	(412,471)	(406,807)
Net current assets	2,365,822	2,720,945	2,751,877
	6,532,118	6,775,909	6,824,768

Condensed Consolidated Statement of Changes in Equity					
	Share capital	Other reserves	Retained earnings	Proposed dividends	Total Equity
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
As at 1 January 2026	98,000	40,206	5,116,232	313,600	5,568,038
Profit for the period	-	-	7,110	-	7,110
Dividends paid	-	-	-	(313,600)	(313,600)
As at 30 June 2026	98,000	40,206	5,123,342	-	5,261,548

KEY HIGHLIGHTS

The global avocado market was well supplied putting pressure on prices particularly in the latter part of the half year. At Kakuzi an anticipated significantly lower crop from our orchards and disrupted shipping routes has weighed heavily on returns with operating profit at half-year falling to Ksh 215.9million (Half year 2025: Ksh 394.9 million).

The macadamia market softened sharply on rising global supply and weaker demand, resulting in a half-year operating profit of Ksh 68.2 million, compared to a profit of Ksh 318.8 million in half year 2025.

Blueberry continued its trend of profitable growth, posting a half-year operating profit of Ksh 15.1 million (Half year 2025: Ksh 13.4 million), notwithstanding freight complexity caused by conflict in the Middle East.

Forestry operating profit significantly improved in the half year to Ksh 73.3 million (Half year 2025: Ksh 42.9 million) on continued strong demand for poles.

Tea and Livestock continue to perform in line with our expectations, with a slight strengthening of the tea market.

Group profit before tax fell to Ksh 10.4 million for the half-year (Half year 2025: Ksh 435.2 million).

Trading Performance

The year-to-date trading in our two core crops has been negatively impacted by geo-political instability impacting key shipping routes into Europe, a lower anticipated overall avocado crop volume and a downturn in market demand for macadamia.

The Directors do not recommend the payment of an Interim Dividend.

BY ORDER OF THE BOARD

NICHOLAS NG'ANG'A
CHAIRMAN

25th AUGUST 2026

KAKUZI PLC

PROFIT WARNING ANNOUNCEMENT

Consistent with the provisions of Paragraph 14.5.7 of the Thirteenth Schedule of the Capital Markets (Public Offers, Listing and Disclosures) Regulations, 2023, Kakuzi Plc ('The Group') issues this profit warning notice and cautionary statement to our current and potential investors as well as the general public.

This profit warning notice arises from trading information, market forecasts and the unaudited results to 30th June 2026 (which have been approved, issued and published today), among other data sources currently at the Board's disposal. We, therefore, wish to report that our net earnings for the period ended 31st December 2026 may be at least 25% lower than that reported for the year ended 31st December 2025.

Exceptionally dry conditions on the farm at the end of 2025 and the Middle East conflict along with a softening of the international macadamia market are anticipated to negatively impact results.

Our strategic priorities remain unchanged in substance, even as the operating conditions in which we pursue them continue to shift: growing our production of avocado and macadamia superfoods as our existing orchards reach maturity, diversifying into new superfoods and new geographic markets.

We remain guided by the belief that a long-term view, sufficient diversification, and disciplined execution are what allow Kakuzi to withstand short-term shocks, whether from markets, weather, or geopolitics, while continuing to build sustainable shareholder and stakeholder value.

By order of the Board

NICHOLAS NG'ANG'A
CHAIRMAN

25TH AUGUST 2026